

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 16

Honorable Vincent I. Parrett, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2270

August 5, 2026

9:00 and 9:01 A.M.

Unauthorized Recording of Court Proceedings will be Punished

ORAL ARGUMENT

If you are contesting the tentative ruling then by 4 PM today you must notify:

- (1) The Court by calling **(408) 808-6856**, and
- (2) The other side by phone or email that you will appear at the hearing to contest the tentative.

If you fail to notify the court and opposing side by 4 PM then no oral argument will be heard and the tentative ruling becomes the final ruling. (C.R.C. 3.1308(a)(1) & Local Rule 8.E.)

APPEARANCES

The Court encourages in-person appearances for all matters.

The Court discourages remote appearances.

The Court forbids phone-only appearances.

If, despite the above clear guidance, you still elect to appear remotely in Department 16 then you must appear by video using our Court's Unicorn Digital Courtroom ("UDC") system. If for whatever reason you do not like using UDC, *then come to D16 in person.*

To use UDC, click or copy and paste this link into your internet browser & scroll to Department 16: https://www.scsccourt.org/general_info/ra_teams/video_hearings_teams.shtml
When using UDC you must *separately register for each case* in which you appear remotely. If you find UDC too cumbersome, *then come to D16 in person.*

Proposed Orders filed by counsel after the hearing must include the Judicial Council Form EFS-020 Proposed Order Cover Sheet.

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
9:01 1			
9:01 2			
9:01 3			
9:01 4			
9:01 5			
9:00 1	24CV447681	<i>Hansraj Bhamu</i> <i>v.</i> <i>Ford Motor Company, et al.</i>	Order VACATING AS MOOT Defendant Ford Motor Company's Motion for Judgment on the Pleadings as to Plaintiff's Fifth Cause of Action for Fraudulent Inducement-Concealment Defendant Ford Motor Company ("Ford") moves under Code of Civil Procedure Section 438 for Judgment on the Pleadings as to the Fifth Cause of Action for Fraudulent Inducement-Concealment of the Complaint of Plaintiff Hansraj Bhamu ("Plaintiff"). Notice of Motion (the "Motion") at 1:4-6 (filed: February 6, 2026). But the Motion is now Moot because on July 27, 2026, Plaintiff filed a Request for Dismissal of the Fifth Cause of Action for Fraudulent Inducement-Concealment. And the Fifth Cause of Action was dismissed on that same date by the Clerk of the Court. Accordingly, the Motion is VACATED as MOOT. SO ORDERED.

9:00 <u>2</u>	25CV457332	<i>Ricardo Alvarez, et al.</i> <i>v.</i> <i>General Motors, LLC, et al.</i>	Order on Defendant General Motors LLC's Demurrer to Plaintiffs' First Amended Complaint See Line 2 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 <u>3</u>	25CV468458	<i>AG7 Enterprises</i> <i>v.</i> <i>The Evergreen Advantage, LLC, et al.</i>	Order on Defendants' Demurrer to the Plaintiff's Amended Complaint See Line 3 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 <u>4</u>	25CV480246	<i>Homa Abbasnia</i> <i>v.</i> <i>ALGT, LLC dba Woodlands Healthcare Center, et al.</i>	Order on Defendants' Petition to Compel Arbitration and Stay this Civil Action See Line 4 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 <u>5</u>	22CV403337	<i>Laura L. Brown</i> <i>v.</i> <i>Andrew S. Espino, et al.</i>	Order on Plaintiff's Motion for Leave to File an Amended Complaint See Line 5 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.

9:00 6	24CV435404	<i>Alma Lorena Hernandez</i> <i>v.</i> <i>The City of San Jose, et al.</i>	Order on Defendant and Cross-Complainant Oak Grove School District's Motion for Leave to File First Amended Cross-Complaint <i>See Line 6 below for complete tentative ruling.</i> After the hearing, the Court will prepare and file the formal Order.
9:00 7	24CV453662	<i>Santos Medina</i> <i>v.</i> <i>SF Green Construction Inc., et al.</i>	Order on Plaintiff's Motion for Leave to File an Amended Complaint <i>See Line 7 below for complete tentative ruling.</i> After the hearing, the Court will prepare and file the formal Order.

9:00 8	25CV460430	<i>April Ouellette</i> <i>v.</i> <i>BAM Oullette Properties LLC,</i> <i>et al.</i>	Order on Respondent Mitchell Ouellette’s Cross-Motion for Order Authorizing Winding Up and Sale of Company Property On April 2, 2026, Respondent Mitchell Ouellette (“Respondent”) filed this Cross-Motion for order authorizing winding up and sale of company property. (Notice of Cross-Motion (the “Cross-Motion”) at 1:19-2:11 (filed: April 2, 2026)). However, on August 4, 2026, based on a written stipulation by the parties, the Court CONTINUED this Cross-Motion to November 20, 2026, at 9:00 AM in Department 16, so that it can be heard on that same date and time with Respondent’s Demurrer to the First Amended Petition and Petitioner’s Motion for Leave to File a Supplemental Pleading. Accordingly, as this Cross-Motion is CONTINUED to November 20, 2026, it is now OFF CALENDAR for today. SO ORDERED.
9:00 9			
9:00 10			
9:00 11			
9:00 12			
9:00 13			
9:00 14			

9:00 <u>15</u>			
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Line 1

Case Name: *Hansraj Bhamu v. Ford Motor Company, et al.*

Case No.: 24CV447681

See Order above (Vacating Motion as Moot in light of July 27, 2026 Dismissal of Fifth Cause of Action for Fraudulent Inducement—Concealment).

Line 2

Case Name: *Ricardo Alvarez, et al. v. General Motors, LLC, et al.*

Case No.: 25CV457332

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant General Motors LLC (“GM” or “Defendant”) demurs under Code of Civil Procedure Section 430.10(e) to the First Amended Complaint (“FAC”) of Plaintiffs Ricardo Alvarez and Lucy Alvarez (“Plaintiffs”) on the grounds that:

- Plaintiffs’ First, Second, and Third Causes of Action alleging violations of the Song-Beverly Consumer Warranty Act are time-barred due to the expiration of the statutes of limitation and repose;
- Plaintiff Fourth Cause of Action for breach of the implied warranty is time-barred by the four-year statute of limitations;
- Plaintiffs cannot state their Fifth Cause of Action for fraudulent inducement-concealment because it is time-barred by the three-year statute of limitations and because Plaintiffs fail to sufficiently plead the essential elements of a fraud claim, specifically that GM had a duty to disclose.

Notice of Demurrer (the “Demurrer”) at 1:3-12 (filed: January 5, 2026).

The Demurrer came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations of the FAC

According to the FAC, on June 21, 2018, Plaintiffs entered into a warranty contract with GM for a 2018 Chevrolet Silverado 1500, vehicle identification number 3GCUKRER6JG232039 (“Subject Vehicle”), which was manufactured and/or distributed by Defendant GM. The contract warranted the Subject Vehicle “bumper-to-bumper”, including but not limited to powertrain, emission, etc. (FAC ¶¶ 6-7)

Before Plaintiffs’ purchase, GM knew that vehicles equipped with the same 8-speed transmission, as installed in the Subject Vehicle, suffered from one or more defects that resulted in various problems including harsh shifting, jerking, lurching, hesitation on acceleration, surging, or deceleration (“Transmission Defect”). GM acquired this knowledge through various sources of information, including but not limited to pre-production testing,

consumer complaints, dealership repair orders, and testing conducted by GM in response to consumer complaints. However, GM and its agents actively concealed the Engine Defect and failed to disclose it to the Plaintiffs at the time of their purchase or thereafter. Had Plaintiffs known the Subject Vehicle and its transmission were defective at the time of sale, they would not have purchased it. (FAC ¶¶ 73-75, 79, 80)

Plaintiffs presented the Subject Vehicle to GM's authorized repair facility at least on one occasion in October 2020. GM's repair facility represented that the Subject Vehicle had been repaired, but Plaintiffs continued to experience symptoms of the defect. (FAC ¶¶ 12, 13)

Plaintiffs initiated this action on January 24, 2025, and filed their FAC on December 4, 2025, alleging causes of action for (1) Violation of Civil Code section 1793.2, subdivision (d); (2) Violation of Civil Code section 1793.2, subdivision (b); (3) Violation of Civil Code section 1793.2, subdivision (a)(3); (4) Breach of the Implied Warranty of Merchantability; and (5) Fraudulent Inducement–Concealment.

II. Legal Standard on Demurrer

“The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain.” (C.C.P. § 430.10(e) & (f).)

A demurrer may be used by “[t]he party against whom complaint has been filed” to object to the legal sufficiency of the pleading as whole, or to any “cause of action” stated therein, on one or more of the grounds enumerated by statute. (C.C.P. §§ 430.10 & 430.50(a).)

“A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. A demurrer may be sustained where judicially noticeable facts render the pleading defective, and allegations in the pleading may be disregarded if they are contrary to facts judicially noticed. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. “Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to

amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

III. Analysis of the Demurrer

A. First Through Third Causes of Action: Violation of the Song-Beverly Consumer Warranty Act

GM invokes the statute of repose under Code of Civil Procedure section 871.21 in support of its contention that Plaintiff’s first through third causes of action are time-barred. Code of Civil Procedure section 871.21 provides, in pertinent part:

"(b)... [A]n action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.

(c) The time periods prescribed in subdivision[] ... (b) shall be tolled as follows:

(1) As provided by tolling requirements prescribed in subdivision (c) of Section 1793.22 of the Civil Code, as applicable.

(2) For the time the motor vehicle is out of service by reason of repair for any nonconformity.

(3) For the time period after a pre-suit notice is provided to the manufacturer in accordance with Section 871.24, which time period shall not exceed 60 days.”

(Code. Civ. Proc. § 871.21)

Code of Civil Procedure section 871.20 provides:

"(a) Notwithstanding any other law, this chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.

(b) This chapter does not apply to service contract claims under Section 1794 of the Civil Code or any action seeking remedies that are not restitution or replacement of a motor vehicle."

(Code. Civ. Proc. § 871.20)

Code of Civil Procedure section 871.20 was added by AB 1755 with an effective date of January 1, 2025, and later amended by Senate Bill ("SB") No. 26 with an effective date of

April 2, 2025. SB 26's revision to Section 871.20 added an opt-in provision to the new procedures by allowing car manufacturers to opt in by May 2, 2025, for the procedures to apply, otherwise the pre-amendment procedures would continue to apply. (See, Code Civ. Proc. §§ 871.29(a)-(c), 871.30.)

Therefore, for GM to rely on sections 871.20 or 871.21, it needs to have “elect[ed] to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of its motor vehicles.” (Code Civ. Proc. §§ 871.29(b)) The FAC does not allege that GM made any such election. GM’s memorandum in support of its demurrer fails to mention section 871.29 or 871.30, much less argue and demonstrate that it made any such election. Nor does GM requests judicial notice of any election.

In its Reply, GM newly argues that it complied with the opt-in provision of the statutory framework on April 23, 2025. (Reply, at 2:3-5) But again, this fact is neither presented in the opening brief nor was sought to be judicially noticed. Furthermore, GM’s reply assertion regarding its election to be governed by the chapter is only supported by an internet site; this is plainly insufficient on demurrer. (See *Zumbrun Law Firm v. California Legislature* (2008) 165 Cal.App.4th 1603, 1623, fn. 12; see also *Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10 (denying request for judicial notice of facts found on internet sites as not a proper subject for judicial notice, stating that “[s]imply because information is on the Internet does not mean that it is not reasonably subject to dispute”).)

GM’s argument also fails under the old statute of limitations for Song-Beverly claims. “An action for breach of any contract for sale must be commenced within four years after the cause of action has accrued. . . . A cause of action accrues when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered”. (*Mexia v. Rinker Coat Co., Inc.*, (2009) 174 Cal.App.4th 1297, 1305-1306; citing Cal. U. Com. Code § 2725, subs. (1), (2).)

The warranty period relating to an implied or express warranty accompanying a sale of consumer goods is tolled for the period from when the buyer delivers nonconforming goods to the manufacturer or seller for warranty repairs or service or notifies the manufacturer or seller of the nonconformity, until the goods are returned to the buyer or the buyer is notified that the goods are repaired. (Civ. Code, § 1795.6.)

Plaintiffs allege they discovered GM's wrongful conduct shortly before filing the complaint, as the Subject Vehicle continued to exhibit symptoms of defects following GM’s unsuccessful attempts to repair them. (FAC ¶¶ 12, 13, 32, 36, 39,) However, Plaintiffs do not allege facts showing how many times the Subject Vehicle was presented for warranty repair nor do they allege how long each repair lasted, during which the statute may have been tolled.

Nonetheless, for Defendant's demurrer to prevail on the affirmative defense that the action is time-barred, the defect must clearly and affirmatively appear on the face of the FAC and/or matters that are subject to judicial notice; it is not enough that the FAC shows that the action may be barred. (See, *Committee for Sound Water & Land Development v. City of Seaside* (2022) 79 Cal.App.5th 389, 400.) The FAC does not affirmatively show the action is time-barred.

Lastly, section 871.20 plainly states that it applies to a violation of section 1793.2 (b) or (d); it does not state that it applies to a violation of section 1793.2, subdivision (a)(3); as alleged in Plaintiffs' third cause of action.

At this juncture, it is unnecessary for the Court to further analyze and address the parties' arguments regarding retroactive application of section 871.21 and equitable tolling of the statutory limitation.

Accordingly, for all the reasons explained above, the Court in the exercise of its discretion **OVERRULES** GM's Demurrer to the First through Third Causes of Action.

B. Fourth Cause of Action: Breach of the Implied Warranty of Merchantability

California Uniform Commercial Code's (UCC) four-year statute of limitations for breach of warranty applies to the Song-Beverly breach of express warranty claims and breach of implied warranty claims. (Com. Code, section 2725(1); *Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 215.) Under that statute, a cause of action for breach of warranty accrues, at the earliest, upon tender of delivery.

Where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance, the cause of action accrues when the breach is or should have been discovered. (See UCC § 2725, subds. (1), (2).) However, "[b]ecause an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that 'explicitly extends to future performance of the goods' [Citations omitted]." (*Cardinal Health 301, Inc. v. Tyco Elecs. Corp.* (2008) 169 Cal. App. 4th 116, 134.)

GM contends that Plaintiffs' fourth cause of action for breach of the implied warranty of merchantability is time-barred by the four-year statute of limitations since the complaint was filed more than four years after the vehicle was purchased and delivered to Plaintiffs. (Motion at 11:21-12:14)

While the Court might imagine that the Subject Vehicle was delivered to Plaintiffs on the date they entered into the warranty agreement with GM, the FAC does not have factual allegations showing that to be so. As noted above, where Defendant demurs on the affirmative defense that the action is time-barred, the defect must clearly and affirmatively appear on the face of the complaint and/or matters subject to judicial notice; it is not

enough that the complaint shows that the action might be barred. (*Committee for Sound Water & Land Development, supra*, 79 Cal.App.5th at p. 400.)

Accordingly, for all the reasons explained above, the Court in the exercise of its discretion **OVERRULES** GM's Demurrer to the Fourth Cause of Action.

C. Fifth Cause of Action: Fraudulent Inducement-Concealment

The elements of fraudulent inducement-concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage. (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 348.)

GM contends that Plaintiffs' claim for fraudulent concealment fails because (1) the applicable statute of limitation lapsed three years after Plaintiffs' purchase of the Subject Vehicle i.e., on June 21, 2021, (2) Plaintiff fails to allege a direct transactional relationship that would give rise to a legal duty to disclose. (Demurrer at 12:16-17:6) The Court is unpersuaded.

While claims for fraudulent inducement based on concealment are subject to a three-year statute of limitations, the claim "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., § 338, subd.(d).) Plaintiffs allege they discovered GM's wrongful conduct shortly before filing their complaint. (FAC ¶ 32) Nothing in the FAC specifies a date when Plaintiffs discovered the alleged fraud. As stated above, a demurrer based on the statute of limitations is only permissible when the grounds for the defense are disclosed on the face of the complaint or from matters judicially noticed. (*Vaca v. Wachovia Mortgage Corp.* (2011) 198 Cal.App.4th 737, 746.) In other words, the dates alleged in the complaint must show the action is barred by the applicable statute of limitations and the running of the statute must appear clearly and affirmatively from the alleged dates. Consequently, GM's demurrer on this ground is **OVERRULED**.

Moreover, a duty to disclose requires "a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances. Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (*Bjoin v. J-M Manufacturing Co., Inc.*, (2025) 113 Cal. App. 5th 884, 901-902, citing *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, and 337 *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312.) All the same, "[a] relationship between the parties is present if there is some sort of transaction

between the parties.” (*Hoffman v. 162 N. Wolfe LLC*, (2014) 228 Cal. App. 4th 1178, 1187, internal citation and quotes omitted)

Plaintiffs allege that they entered into an express warranty agreement with GM on June 21, 2018. The Court is obligated to construe all inferences in the FAC in the light most favorable to Plaintiffs. As such, Plaintiffs have sufficiently alleged a transactional relationship with GM that gives rise to a duty to disclose. Plaintiffs have also alleged sufficient facts showing GM’s exclusive knowledge of the Transmission Defect, which were not reasonably discoverable by Plaintiffs. Consequently, GM’s argument for lack of duty to disclose fails on either basis.

Accordingly, for all the reasons explained above, the Court in the exercise of its discretion **OVERRULES** GM’s Demurrer to the Fifth Cause of Action.

IV. Conclusion & Order

GM’s Demurrer to the First through Fifth Causes of Action of the FAC is **OVERRULED**.

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 3

Case Name: *AG7 Enterprises v. The Evergreen Advantage, LLC, et al.*

Case No.: 25CV468458

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendants The Evergreen Advantage, LLC (“Evergreen”), Silicon Valley Disposition, Inc. (“SVD”), and Capital Solar Holdings LLC (“Capital Solar”) (collectively, “Defendants”) demur under Code of Civil Procedure Section 430.10(e) to the First Amended Complaint of Plaintiff AG7 Enterprises (“Plaintiff” or “AG7”) on the ground that the First Amended Complaint fails to state facts sufficient to state a cause of action. Notice of Demurrer (the “Demurrer”) at 1:23-2:3 (filed: Jan. 5, 2026).

The Demurrer came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Plaintiff brought this civil action against Defendants on June 20, 2025. And on July 11, 2025, Plaintiff filed a verified First Amended Complaint (“FAC”).

According to the allegations of the FAC, in July 2022, Khloris Biosciences, Inc. (“Khloris”), a biotech startup company, signed a ten-year lease with The Realty Associates Fund XII Portfolio, L.P., c/o TA Realty for commercial property located in San Jose, CA (“Subject Property”). (FAC, ¶ 10.) Khloris subleased a portion of the property to LeSoleil, Inc. for its solar panel manufacturing business. (FAC, ¶ 11.)

In June 2022, Total New Energy Systems Co., Ltd. (“TNES”) entered in an Equipment Assignment and Joint Venture Agreement (“TNES JV”) valued at ten million dollars for solar panel manufacturing operations with LeSoleil, Inc. (FAC, ¶ 12.) In July 2022, Atlas Capital Investments, LLC (“Atlas”), purchased the Subject Property via a mortgage with Evergreen. (FAC, ¶ 13.) In 2023, Khloris defaulted on its rental obligation and in turn, Atlas fell behind on its payments to Evergreen. (FAC, ¶¶ 14-15.)

In May 2024, Evergreen foreclosed on the Subject Property and became the owner. (FAC, ¶ 16.) In November 2024, the TNES JV was assigned to Plaintiff by LeSoleil, Inc., including ownership and security rights in the solar panel manufacturing equipment and other personal property stored at the Subject Property and thereafter executed a Security Agreement with TNES. (FAC, ¶¶ 17-18.) Plaintiff then filed a UCC-1 Financing Statement with the California Secretary of State, perfecting its lien on all equipment and listing a secured interest of at least ten million dollars. (FAC, ¶ 19.)

In May 2025, Plaintiff served notice to SVD, asserting its security interest and warning that auctioning the equipment without Plaintiff's consent could constitute wrongful conversion. (FAC, ¶ 20.) Despite this, Evergreen refused to allow Plaintiff to recover its equipment and SVD conducted an online auction to sell the personal property at issue in June 2025, excluding Plaintiff. (FAC, ¶¶ 21, 22.) The third-party buyer has yet to pay for the equipment and has not taken possession of it, thus, Evergreen continues to exercise control over the personal property. (FAC, ¶ 24.)

Plaintiff filed its FAC, asserting five claims for:

- 1) Trespass to Chattel & Conversion;
- 2) Wrongful Disposition of Collateral;
- 3) Violation of Business and Professions Code, section 17200 et seq.;
- 4) Declaratory Relief; and
- 5) Injunctive Relief.

On January 5, 2026, Defendants filed this Demurrer to the FAC in its entirety and each of the FAC's causes of action. Plaintiff opposed the Demurrer, and Defendants filed a reply.

I. Plaintiff's Appeal regarding a Preliminary Injunction ruling does not stay this Demurrer.

Plaintiff asserts that the arguments in the demurrer are not properly before the Court because, pursuant to Code of Civil Procedure section 916, the appeal stays proceedings in the trial court. (Opposition, p. 5, subd. (E).)

On August 20, 2025, this Court (Hon. Hayashi) denied Plaintiff's request for preliminary injunction, holding that Plaintiff did not have a perfected security interest in the subject equipment and Plaintiff did not offer any other testimony addressing an alleged ownership interest in the subject equipment. Judgment was entered on October 4, 2025.

On December 5, 2025, Plaintiff filed an appeal to the Sixth District Court of Appeal regarding the denial of the preliminary injunction.

In some instances, the perfecting of an appeal will effectively stay proceedings in the trial court. (See Code. Civ. Proc., § 916.) But "an appeal from the denial of a preliminary injunction does not stay further trial court proceedings on the merits. Because the injunction 'amounts to a mere preliminary or interlocutory order to keep the subject of litigation *in status quo* pending the determination of the action on its merits' (*Gray v. Bybee* (1943) 60 Cal. App. 2d 564, 571 [] (*Gray*)), the affirmance or reversal of its denial does not and cannot eliminate the need for additional proceedings on the merits. Section 916 therefore does not automatically stay such proceedings. (See *Major v. Miraverde*

Homeowners Assn. (1992) 7 Cal.App.4th 618, 623 [9 Cal. Rptr. 2d 237]; *Gray*, [*supra*,] at p. 571.)” (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 191.)

Therefore, the Court may properly and does now address the arguments raised in this Demurrer.

II. Defendants’ Demurrer

Defendants demur generally to the FAC on the ground it fails to state sufficient facts to constitute a cause of action pursuant to Code of Civil Procedure section 430.10, subdivision (e).

a. Legal Standard on Demurrer

In ruling on a demurrer, the Court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. “Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

b. Defendants’ Request for Judicial Notice

In support of their demurrer, Defendants request judicial notice of the UCC-1 Statement dated May 14, 2025 (Ex. 1.) The request is GRANTED. (Evid. Code, § 452, subds. (c) and (h).)

c. Analysis on Demurrer

Defendants argue: 1) the entire FAC is insufficient because Plaintiff does not have a valid, perfected security interest in the subject equipment; 2) the entire FAC is insufficient because Plaintiff cannot allege it was the prior tenant or owner of the subject equipment; 3) Plaintiff failed to join TNES; 4) and each of the five causes of action fail to state sufficient facts.

i. Valid Security Interest

Defendants' primary argument is that Plaintiff does not have a valid or perfected security interest in the subject equipment and because the Court has already found that Plaintiff does not have a perfected security interest, all the causes of action fail. (Demurrer, p. 7:10-17.)

While the Court understands Defendants' argument, it must still focus on the allegations of the FAC to determine if a valid cause of action has been stated. "[A] preliminary injunction is an interim order which 'reflects nothing more than the superior court's evaluation of the controversy on the record before it *at the time* of its ruling; it is not an adjudication of the ultimate merits of the dispute.'" (*Department of Fair Employment & Housing v. Superior Court* (2020) 54 Cal.App.5th 356, 391 [emphasis original].) An order on preliminary injunction "may not be given issue-preclusive effect with respect to the merits of the action." (*Ibid.* [citations omitted].)

"In considering the merits of a demurrer, the facts alleged in the pleading are deemed true, however improbable they may be." (See *Bader v. Anderson* (2009) 179 Cal.App.4th 775, 787; see also *Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496 [court reviewing propriety of ruling on demurrer is not concerned with the "plaintiff's ability to prove . . . allegations, or the possible difficulty in making such proof"].) Thus, the Court will not look outside the four corners of the FAC in addressing the demurrer and as a result, it will not rely on the order on preliminary injunction, or any of the related evidence and declarations, in reaching its conclusions here. Any argument that depends on the preliminary injunction and its related evidence will not be addressed further in resolving this Demurrer.

Accordingly, the Demurrer to the entire FAC based on the Court's ruling on the preliminary injunction is **OVERRULED**.

ii. Security Agreement

Defendants next argue: 1) that Plaintiff has no security interest in the subject equipment because its Security Agreement with TNES is not supported by consideration (Demurrer, pp. 7:18-20, 8:4-6); and 2) Plaintiff's UCC-1 filing did not create a valid or perfected lien because TNES is a Japanese entity, and thus, every claim fails. (*Id.* at p. 9:15-19.)

Defendants acknowledge that the Security Agreement is not attached to the FAC but argue that the Court can review the documents referenced by the pleading and attaches the Security Agreement as Exhibit 1 in their supporting memorandum of points and authorities. (*Id.* at p. 7:20-21.) The Court declines to consider the Security Agreement as Defendants did not properly request judicial notice of the document. (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 834 ["Because a demurrer challenges defects on the face of the complaint, it can refer to matters outside the pleading only if those matters are subject to judicial notice"].) Defendants' reliance on *City of Pomona v. Superior Court* (2001) 89 Cal.App.4th 793, 800 and *Qualcomm, Inc. v. Certain Underwriters at*

Lloyd's, London (2008) 161 Cal.App.4th 184, 191 is unpersuasive as the cases state that, “[w]here written documents are the foundation of an action **and** are attached to the complaint **and** incorporated therein by reference, they become a part of the complaint and may be considered on demurrer.” (*Qualcomm, Inc., supra*, at p. 191 [emphasis added].) Consequently, the Security Agreement is not before the Court at this time and Defendants’ reliance on it or any language contained therein that is not alleged in the pleading is unavailing. Likewise, the Court declines to review the TNES JVA. (See Demurrer, p. 8, fn. 2 [requesting the Court review Exhibit 2 of the memorandum of points and authorities].)

As for the argument that Plaintiff cannot establish a perfected security interest in the subject equipment, the Court is not persuaded. Here, Plaintiff sufficiently alleges that it perfected its security interest. (FAC, ¶¶ 7, 30, 46.)¹ Moreover, even if the security interest were not perfected, if there is a valid security interest it is still “enforceable against all parties unless the holder of a later-acquired interest qualifies under some other provision of the [Uniform Commercial] Code. . . . For example, an unperfected security interest will defeat the interest of an unsecured general creditor. . . .” (*Turbinator, Inc. v. Superior Court* (1995) 33 Cal.App.4th 443, 451 (*Turbinator*)). Thus, the remaining issue is whether the security interest is valid. The requirements for “validity [of a security interest] are those set out in section 9203: a signed agreement, value given, and the debtor’s rights in the collateral. Once these are met, an enforceable security interest exists.” (*Turbinator, supra*, 33 Cal.App.4th at p. 451.)

Even without reviewing the Security Agreement, as currently alleged, the FAC is devoid of fact allegations that the Security Agreement is supported by value given. The allegations found in Paragraphs 18 and 19 seem to only allege that Plaintiff and TNES executed a Security Agreement for a secured interest of \$10,000,000 based on an agreement with LeSoleil. (Opposition, p. 4:17-21, citing FAC, ¶¶ 18-19.) In opposition, Plaintiff states that this action has nothing to do with consideration between Plaintiff and TNES and that there is no obligation to find that an assignment comes with sufficient consideration. (Opposition, pp. 3:20-21, 4:22-23.) Plaintiff cites no authority to support this proposition. (See *People v. Dougherty* (1982) 138 Cal.App.3d 278, 282 [a point asserted without citation to authority will be disregarded].) While consideration may be presumed where there is an alleged written simple contract, the above three requirements must be alleged to state a valid security interest, regardless of whether the security interest is perfected. (See *Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1235 [a security interest cannot exist without an underlying obligation].)

And because the FAC fails to plead facts that the Security Agreement is supported by value given, the Demurrer to the FAC on the ground it fails to state sufficient facts to constitute a cause of action pursuant to Code of Civil Procedure section 430.10(e) is **SUSTAINED**.

¹ The Court here declines to determine whether the filing of the UCC-1 with the California Secretary of State perfected the lien based on TNES’ CEO’s location in California as this falls outside of the four corners of the FAC.

That said, as the Court cannot now say that the pleading is “incapable of amendment” (*McDonald*, 180 Cal. App. 3d at 303-304), the Court hereby grants Plaintiff leave to amend its pleadings to sufficiently allege the requirements of a valid security interest.

Specifically, the Court grants Plaintiff **LEAVE within 15 days of today** to file a Second Amended Complaint. And Defendants, of course, in turn may answer or otherwise respond to the SAC in any manner allowed, and within the time allowed, by the Code of Civil Procedure.

While the Court can and does now **SUSTAIN** the Demurrer based on this ground alone that by failing to plead facts showing a valid security interest the FAC fails to state sufficient facts to constitute any cause of action under Code of Civil Procedure section 430.10(e), for purposes of clarity of the record the Court also now addresses Defendants’ remaining argument regarding non-joinder.

iii. Non-joinder of TNES

Defendants additionally argue that the FAC fails because the alleged owner of the subject equipment and debtor of Plaintiff (TNES) is not joined in this action. (Demurrer, p. 10:25-27.) In opposition, Plaintiff argues that Code of Civil Procedure section 389 only requires joinder where complete relief cannot be accorded among the already named parties. (Opposition, p. 3:17-19, citing Code Civ. Proc., § 389.) Plaintiff asserts there is no reason why debtor TNES must be joined as the action has nothing to do with the consideration between Plaintiff and TNES, TNES is not in possession of the subject equipment, and there is no cause of action that would justify TNES’s inclusion in as a defendant. (Opposition, p. 3:20-23.)

Subdivision (a) of section 389 provides: “A person who is subject to service of process and whose joinder will not deprive the court of jurisdiction over the subject matter of the action shall be joined as a party in the action if (1) in his absence complete relief cannot be accorded among those already parties *or* (2) he claims an interest relating to the subject of the action and is so situated that the disposition of the action in his absence may (i) as a practical matter impair or impede his ability to protect that interest *or* (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of his claimed interest. If he has not been so joined, the court shall order that he be made a party. . . .” (Code Civ. Proc., § 389 [emphasis added].)

As for the first clause, “[t]he term complete relief refers only ‘to relief as between the persons already parties, and not as between a party and the absent person whose joinder is sought.’” (*Countrywide Home Loans, Inc. v. Superior Court* (1999) 69 Cal.App.4th 785, 794 [internal quotations omitted].) In other words, if Defendants were to prevail in this action, and damages could not be ascertained or judgment rendered if TNES was not a party, then joinder is necessary to give Defendants complete relief. The second clause is invoked where nonjoinder may harm the interest of TNES or expose other parties to multiple liability. The Court is not persuaded by Defendants’ assertions that *not* joining TNES would impair

TNES's ability to protect its interests in the subject property because the allegations indicate TNES entered into an agreement with Plaintiff. (FAC, ¶ 18 [stating Plaintiff entered into an agreement with TNES whereby TNES granted Plaintiff a security interest in the subject equipment].) Further, the allegations indicate that Plaintiff owns the subject equipment, thus, the argument that Defendants would be exposed to multiple liabilities is unavailing. (FAC, ¶ 17 [stating ownership rights were assigned to Plaintiff in November 2024].)

Accordingly, the Court overrules Defendants' arguments for demurrer *on the basis of non-joinder*.

III. Conclusion and Order

Accordingly, Defendants' Demurrer to the FAC is **SUSTAINED** under Code of Civil Procedure section 430.10(e) for failing to allege facts showing a valid security agreement. And the Court grants Plaintiff **LEAVE within 15 days from today** to file a Second Amended Complaint to try to cure the pleading deficiencies identified herein.

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 4

Case Name: *Homa Abbasnia v. ALGT, LLC dba Woodlands Healthcare Center, et al.*

Case No.: 25CV480246

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendants ALGT, LLC and Aspen Healthcare Services, LLC (“Defendants”) moves under Code of Civil Procedure Sections 1281, 1281.2, 1281.4, 1290, *et seq.*, California Rule of Court 3.1330, the Federal Arbitration Act, and the arbitration agreement between the parties here, to compel arbitration and stay this civil action until that arbitration is complete. Amended Notice of Petition (the “Motion”) at 2:4–11. (filed: Feb. 23, 2026).

The Motion came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

On November 17, 2025, Plaintiff Homa Abbasnia (“Plaintiff”) filed a Complaint against Defendants. On January 6, 2026, Plaintiff filed an Amended Complaint asserting eight causes of action: (1) harassment/failure to prevent harassment; (2) discrimination/failure to prevent discrimination; (3) retaliation/failure to prevent retaliation; (4) constructive wrongful termination; (5) failure to provide reasonable accommodation; (6) failure to engage in the interactive process; (7) interference and retaliation in violation of the California Family Rights Act; and (8) whistleblower retaliation.

Defendants now move to compel arbitration of Plaintiff’s claims pursuant to the Mutual Agreement to Arbitrate Employment-Related Disputes (the “Agreement”) executed by the parties. Plaintiff opposes this motion and contends the Agreement is procedurally and substantively unconscionable. Having considered the Agreement and the circumstances of its execution, the Court GRANTS the Motion to compel arbitration for the reasons explained below.

LEGAL STANDARD ON MOTION TO COMPEL ARBITRATION

Defendants maintain that the Federal Arbitration Act (“FAA”) governs the Arbitration Agreement. The Agreement provides, “I understand and agree that the Company is engaged in transactions involving interstate commerce and that my employment involves interstate commerce. This Agreement shall be governed and construed in accordance with the Federal Arbitration Act, 9 U.S.C. §§ 1, *et seq.* (‘FAA’).” (Declaration of Sabrina Leon [“Leon Decl.”], Ex. A at ¶ 7.)

The basic coverage provision of the FAA “makes the law applicable to contracts evidencing a transaction ‘involving commerce’ (9 U.S.C. § 2), which language reflects that Congress intended the law’s coverage to extend to the full reach of its commerce clause power.” (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279 [internal citations omitted].) “Congress Commerce Clause power ‘may be exercised in individual cases without showing any specific effect upon interstate commerce’ if in the aggregate the economic activity in question would represent ‘a general practice . . . subject to federal control.’” (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57 [quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236].)

Defendants argue that they are engaged in interstate commerce because they receive payment from Medicare, a federally funded program, and “purchase[] medical supplies from Medline, Inc., which is based in Northfield, Illinois. The supplies purchased from Medline, Inc. are utilized by the Nursing Department and as part of the patient care by RNs at Woodlands.” (Declaration of Connor Rawe [“Rawe Decl.”] at ¶¶ 8, 9.) The purchase of medical supplies originating from outside California satisfies the interstate commerce requirement. (*Scott v. Yoho* (2016) 248 Cal.App.4th 392, 401-402.) Additionally, “[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA.” (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 289.) For these reasons, the Court concludes the FAA applies.

Under the FAA, the Court’s role in resolving this Motion is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

ANALYSIS OF THE MOTION

After reviewing the Agreement and all relevant documents in the record, the Court finds that the parties entered into a valid agreement to arbitrate. Defendants have attached a copy of the Agreement electronically signed by Plaintiff on July 25, 2023. (Leon Decl., Ex. A.) (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165 [noting that it is a moving party’s burden to produce prima facie evidence of an agreement to arbitrate by attaching the agreement to the motion].) Plaintiff’s electronic signature has the same legal effect as a handwritten signature—and is an express acceptance of an agreement to arbitrate. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060; *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Defendants have set forth the procedures undertaken to authenticate Plaintiff’s signature in the Declaration of Sabrina Leon. (Leon Decl. at ¶ 7.) Plaintiff does not dispute that she signed the Agreement.

Additionally, the broad scope of the Agreement to arbitrate covers all of Plaintiff’s claims. The Agreement applies to “all grievances, disputes, claims, complaints, allegations

and any other matters (collectively, ‘the Matters’) in question arising out of or relating to the Parties’ employment relationship[.]” (Leon Decl., Ex. A at ¶ 1.) The “Covered Matters” include “all Matters in a federal, state, or local court or agency under applicable federal, state, or local laws, arising out of Employee’s employment . . . [t]he claims covered by this Agreement include, but are not limited to . . . wrongful termination (constructive or actual) in violation of public policy, claims for discrimination or harassment (including but not limited to harassment or discrimination based on race, sex, gender, religion, national origin, age, marital status, medical condition, psychological condition, mental condition, disability, or sexual orientation), claims for violation of any federal, state, or other governmental law, statute, regulation, or ordinance, including but not limited to . . . the California Fair Employment and Housing Act” (*Id.*, Ex. A at ¶ 3.) Plaintiff has sued Defendants for *inter alia*, harassment, discrimination, retaliation, constructive wrongful termination, failure to provide reasonable accommodation, and failure to engage in the interactive process under the California Fair Employment and Housing Act (“FEHA”). Plaintiff’s claims arise out of her employment with Defendants and expressly fall within the scope of the Agreement.

Defendants also argue that Aspen Healthcare Services, LLC (“Aspen”) may move to compel arbitration against Plaintiff based on the terms of the Agreement. (Motion to Compel Arbitration at pp. 11:21-13:3.) The Agreement requires Plaintiff to arbitrate claims it may have against ALGT, LLC’s “alleged joint employers, or agents in their capacity as such[.]” (Leon Decl., Ex. A at ¶ 3.) Whether an arbitration agreement is binding on a third party (e.g. a nonsignatory) is a question of law subject to *de novo* review.” (*Benaroya v. Willis* (2018) 23 Cal.App.5th 462, 468.) “There are circumstances in which nonsignatories to an agreement containing an arbitration clause can be compelled to arbitrate under that agreement. As one authority has stated, there are six theories by which a nonsignatory may be bound to arbitrate ‘(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third party beneficiary.’” (*Id.* at p. 469 [citing *Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513].)

Defendants assert that Aspen can compel arbitration of Plaintiff’s claims based on agency theory and equitable estoppel. “[T]he *sine qua non* for application of equitable estoppel as the basis for allowing a nonsignatory to enforce an arbitration clause is that the claims the plaintiff asserts against the nonsignatory must be dependent upon, or founded in and inextricably intertwined with the underlying contractual obligations of the agreement containing the arbitration clause.” (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 217-218.) Aspen is an agent of ALGT, LLC and Plaintiff has alleged Defendants are joint employers. Plaintiff asserts all eight causes of action against both Defendants. Plaintiff is further required to arbitrate any claim she has against ALGT, LLC’s agents. (Leon Decl., Ex. A at ¶ 10.) Thus, the claims asserted against Aspen are intertwined with the underlying contractual obligations of the Agreement. While Plaintiff argues paragraph 10 lacks mutuality, it does not oppose Aspen’s ability to compel arbitration. For these reasons, the Court rules that Aspen can and does move to compel arbitration under the Agreement to arbitrate—which again exists and covers Plaintiff’s claims here.

Indeed, Plaintiff does not dispute that she signed the Agreement, that the Agreement to arbitrate exists, or that the scope of the Agreement covers her claims. Instead, she

challenges the enforceability of the Agreement by arguing that it is unconscionable. The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*).) This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.) The Court thus proceeds to consider whether the Agreement is procedurally and substantively unconscionable.

**Plaintiff fails to carry her burden of proving that the Agreement is
Procedurally Unconscionable.**

The circumstances that the court examines to determine whether there was “oppression” in the signing of an agreement generally include: “(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*OTO, supra*, 8 Cal.5th at pp. 126-127 [quoting (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348].)

Plaintiff argues that the Agreement is a contract of adhesion because it was presented to Plaintiff as a condition of employment during the onboarding process, drafted by Defendants, and offered on a take-it-or leave it basis. To the extent Defendants argue the Agreement was voluntary (Reply at p. 3:2-3), the terms of the Agreement are conflicting in this regard. On the one hand, the Agreement states “[t]he parties understand the terms of this Agreement and freely and voluntarily sign this Agreement.” The Agreement further provides before the signature line, “I voluntarily agree to individual arbitration, consent to the provisions of the Agreement, and agree to be bound by it.” On the other hand, paragraph 2 of the Agreement concerns “Mandatory Arbitration” and requires arbitration “[a]s consideration for Employee or accepting or continuing employment with the Company[.]” Thus, arbitration is required as a condition of employment. *But* “the cases uniformly agree that a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127.) So just because Plaintiff says this Agreement is “adhesive” does not prove that is procedurally unconscionable.

Plaintiff maintains she was required to sign all of the onboarding documents before she could begin working. She completed the documents at home and contends that the documents were presented to her as a continuous sequence of onboarding forms with several forms to review and sign. (Declaration of Homa Abbasnia [“Abbasnia Decl.”] at ¶ 4.) Ms. Leon, on the other hand, provides “[e]mployees are afforded the ability to review and sign the Arbitration Agreement at their own pace.” (Leon Decl. at ¶ 5.) She further

states, “I was present during Ms. Abbasnia’s onboarding. She did not ask any questions or voice any concerns about the Arbitration Agreement. I did not pressure Ms. Abbasnia to sign the Arbitration Agreement without first reviewing it, and I am not aware of anyone else pressuring her.” (*Id.* at ¶ 9.) Thus, while the Agreement is a condition of employment, there is conflicting evidence as to whether Plaintiff was pressured into signing the Agreement.

Plaintiff further maintains she required assistance with the documents because they were in English, which is her third language. Although she can “orally communicate in English about routine nursing duties and everyday matters,” she is “not fluent in reading or understanding English documents, contracts, or specialized legal terminology.” (Abbasnia Decl. at ¶ 2.) But the Court finds that Plaintiff here has a higher level of English proficiency than the plaintiffs in the cases she invokes. (See *Nunez v. Cycad Management LLC* (2022) 77 Cal.App.5th 276, 280-281 [Nunez was “a native Spanish speaker with limited *spoken* English skills and an even more limited ability to read and write in English.” (emphasis added)]; *Carmona v. Lincoln Millenium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 80-81 [noting that the plaintiffs’ native language was Spanish and that neither could speak or read English]; *Subcontracting Concepts (CT), LLC v. De Melo* (2019) 34 Cal.App.5th 201, 206 [noting that the respondent’s native language is Portuguese and that “he is not fluent enough in English to fully understand documents written in English”].)

Instead, this case is more akin to *Alvarez v. Altamed Health Service Corp.* (2021) 60 Cal.App.5th 572, 581 (*Alvarez*). There the court noted, “[c]ases which find procedural unconscionability based on a lack of English skills involve a very low level of such skills.” (*Ibid.*) Like the respondent in *Alvarez*, Plaintiff here demonstrates a much higher level of English fluency. As part of the onboarding process, Plaintiff signed a “Languages in the Workplace Policy and Acknowledgment” which required all employees to speak in English and provided that “Basic English reading skills are necessary for the business operations to understand job expectations such as: Employee Handbooks, Safety Labels, Job Descriptions, Patient Care Plans, and Facility Training Materials.” (Rawe Decl. at ¶¶ 5, 6.) In addition, Ms. Leon attests that she regularly communicated with Plaintiff via email and text message. “Throughout her employment, she demonstrated the ability to read, write, and respond appropriately in English.” (Leon Decl. at ¶ 12.) The Court does not find that a translation was required, nor did Plaintiff ask for one. Thus, like *Alvarez*, the absence of a translation here does not contribute to the Agreement’s procedural unconscionability.

Taking all this into account, and in the broad exercise of its discretion, the Court finds that Plaintiff has failed to carry her burden to prove that this Agreement to arbitrate is procedurally unconscionable.

**Plaintiff fails to carry her burden of proving that the Agreement is
Substantively Unconscionable.**

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*).) The Court assesses whether the agreement reallocates risks in an objectively unreasonable or

unexpected matter. (*Jones v. Wells Fargo Bank* 112 Cal.App.4th 1527, 1539.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such one-sidedness based on ‘business realities.’” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

Armendariz instructs that there are “five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it ‘(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment “effectively may vindicate [his or her] statutory cause of action in the arbitral forum.” ’ ” (*Armendariz, supra*, 24 Cal.4th at p. 102.)

The Agreement satisfies all of these factors. The Agreement provides for the selection of a neutral arbitrator by providing that the matter “shall be submitted to binding arbitration administered by JAMS in accordance with the JAMS Employment Arbitration Rules & Procedures.” (Leon Decl., Ex. A at ¶ 1.) The Agreement provides for reasonable discovery and provides “[t]he Parties shall be entitled to conduct discovery that is adequate for a claimant to vindicate the claims brought and for respondent to defend against such claims, including access to essential documents and witnesses.” (*Id.*, Ex. A at ¶ 9.) The Agreement requires the arbitrator to issue a written decision. (*Id.*, Ex. A at ¶ 8.) Furthermore, the Agreement provides “[t]he Arbitrator has authority to award the Parties all form of relief that would otherwise be available to the Parties in a court of law” (*Ibid.*) The Agreement provides “[t]he Company shall be responsible for the arbitrator’s fees and expenses except that Employee will be required to pay arbitration filing fees that are no higher than the filing fees imposed by the Superior Court in the county in which the arbitration is conducted.” (Leon Decl., Ex. A at ¶ 10.) Thus, no unreasonable fees are shifted to the employee. The Agreement, therefore, complies with *Armendariz*.

However, even if the Agreement complies with *Armendariz*, Plaintiff may still argue that it is unconscionable. Plaintiff challenges three provisions that bear on the Agreement’s unconscionability.

First, Plaintiff challenges the following provision of the paragraph concerning the arbitration fees and costs: “If any party prevails on a statutory claim that affords the prevailing party attorneys’ fees and costs, or if there is a written agreement providing for attorneys’ fees and costs, the Arbitrator may award reasonable attorneys’ fees and costs to the prevailing party.” (Leon Decl., Ex. A at ¶ 10.) Plaintiff maintains that this provision contravenes Government Code section 12965, subdivision (c)(6), which provides “a prevailing defendant may not recover fees and costs unless the court finds the action was frivolous, unreasonable, groundless when brought, or the plaintiff continued to litigate after it became clearly so.”

But the Court does not find paragraph 10 inconsistent with Government Code section 12965, subdivision (c). As an initial matter, paragraph 7 requires the arbitrator to “apply the substantive state or federal law governing the claims asserted, including remedies.” (*Id.*, Ex. A at ¶ 7.) Thus, section 12965, subdivision (c) applies in this instance. *Trivedi v. Curexo Technology Corp.* (2010) 189 Cal.App.4th 387, 394-395 (*Trivedi*) (emphasis added; disapproved on other grounds by *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237) is distinguishable because the agreement there provided that “[t]he prevailing party shall be entitled to recover from the other party all costs, expenses, and reasonable attorney[] fees[.]” Conversely, the word “affords” suggests that where prevailing party fees are not authorized by statute, none will be awarded. Here, in stark contrast, attorneys’ fees are not afforded to a defendant unless the action is frivolous, unreasonable, and groundless. Accordingly, Plaintiff’s argument here fails to prove that the Agreement is substantively unconscionable.

Second, Plaintiff argues the Agreement requires her to arbitrate her claims with nonsignatories but does not require these nonsignatories to arbitrate their claims with her. The Agreement applies to matters “that Employee may have against the Company or against its officers, directors, members, supervisors, managers, owners, employees, alleged joint employers, agents in their capacity as such, or that Company may have against Employee.” (Leon Decl., Ex. A at ¶ 3.) Plaintiff relies on *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326-327, where the court found that a similarly worded agreement lacked mutuality because the plaintiff was required to arbitrate any claims she had with USC’s related entities, but the related entities were not required to arbitrate their claims with her. But more recent decisions are instructive on this issue. The Ninth Circuit in *Cocom v. ABM Aviation, Inc.* (2026) No. 25-3246, 2026 U.S. App. LEXIS 18092, *21 (*Cocom*), noted that “employment-related claims have an inherent asymmetry: an employee is far more likely to sue the employer and third parties—often many at a time, as Cocom has done here—rather than the other way around.” The court there construed a similar provision requiring the employee to arbitrate any claims he had against the Company, “its past, present, and future parent(s), subsidiaries, affiliates, and/or their present, and future officers, directors, and/or employees” (*Ibid.*) Relying on *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 (*Ayala-Ventura*), the Ninth Circuit found that unlike *Cook* because the agreement was limited to employment-related claims it was not unconscionable. (*Cocom, supra*, 2026 U.S. App. LEXIS 18092 at pp. 21-22.) The *Ayala-Ventura* court further found the provision there mutual because also unlike *Cook*, the third parties were limited to invoking the agreement in their capacity as employees or agents only. (*Ayala-Ventura, supra*, 119 Cal.App.5th at p. 258.) The Agreement here is likewise limited to employment-related disputes, and third parties are subject to the agreement their capacity as employees or agents only. For these reasons, the Court does not find that this provision lacks mutuality or that it is substantively unconscionable.

Finally, Plaintiff maintains the Agreement contains a blanket PAGA waiver with mandatory-dismissal language that is unlawful. But Plaintiff has not brought a PAGA claim in this action. Therefore, as Plaintiff’s PAGA arguments are inapplicable and moot as to Plaintiff, Plaintiff’s PAGA arguments fail to prove that the Agreement is substantively unconscionable.

Taking all this into account, and in the broad exercise of its discretion, the Court finds that Plaintiff has failed to carry her burden to prove that this Agreement to arbitrate is substantively unconscionable.

As the Court has now ruled that the Agreement to arbitrate is neither procedurally nor substantively unconscionable, all of Plaintiff's unconscionability arguments to avoid arbitration of her claims fail. So Plaintiff must arbitrate her claims as she promised to do in the Agreement she signed.

CONCLUSION

Accordingly, for all the reasons set forth above and in the broad exercise of the Court's discretion, Defendants' Motion to compel arbitration is GRANTED. Moreover, this action is STAYED pending the outcome of this arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 5

Case Name: *Laura L. Brown v. Andrew S. Espino, et al.*

Case No.: 22CV403337

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Laura L. Brown moves under Code of Civil Procedure Section 473(a)(1) leave to file an Amended Complaint. Notice of Motion (the “Motion”) at 1:25-2:4 (filed: Dec. 17, 2025).

The Motion is made on the grounds that doing so will be in furtherance of justice, and that new facts and resulting new damage have come to light since the original Complaint was filed and answered, requiring amendment to accurately reflect the full scope of the Plaintiff’s claims. *Id.* at 2:2-8.

The Motion came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

As the strong policy of California law is to liberally permit amendment of pleadings so that disputes will be efficiently decided on their merits, when resolving a motion to amend a pleading it is the practice of this Court to liberally exercise its discretion to permit amendment. *Nestle v. Santa Monica* (1972) 6 Cal. 3d 920, 939; *Mable v. Hyatt* (1998) 81 Cal. App. 4th 581, 596. Indeed, unless a party opposing a motion to amend a pleading demonstrates that the amendment would cause them undue prejudice, “it is not only error but an abuse of discretion” for a trial court to refuse permission to amend. *Morgan v. Sup. Ct. (Morgan)* (1959) 172 Cal. App. 2d 527, 530.

Here, no party opposed the Motion at all, let alone demonstrated that any prejudice would be wrought by this amendment. The Court views their failure to oppose this Motion as Defendants conceding this Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated “as an admission that the motion is meritorious”) (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).

Accordingly, Plaintiff’s Motion is **GRANTED** and Plaintiff Laura L. Brown is **ORDERED** to file her Amended Complaint within 15 days of today. All other parties in this action may answer or otherwise respond to Plaintiff’s Amended Complaint in any manner allowed, and in the time allowed, by the Code of Civil Procedure.

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 6

Case Name: *Alma Lorena Hernandez v. The City of San Jose, et al.*

Case No.: 24CV435404

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant and Cross-Complainant Oak Grove School District (“District” or “Cross-Complainant”) moves under Code of Civil Procedure Sections 473 and 576 for leave to file a First Amended Cross-Complaint against Sugumura Finney Architects, Inc. on the grounds that doing so is in the interests of justice. Notice of Motion (the “Motion”) at 2:4-13 (filed: Dec. 18, 2025).

The Motion came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

As the strong policy of California law is to liberally permit amendment of pleadings so that disputes will be efficiently decided on their merits, when resolving a motion to amend a pleading it is the practice of this Court to liberally exercise its discretion to permit amendment. *Nestle v. Santa Monica* (1972) 6 Cal. 3d 920, 939; *Mable v. Hyatt* (1998) 81 Cal. App. 4th 581, 596. Indeed, unless a party opposing a motion to amend a pleading demonstrates that the amendment would cause them undue prejudice, “it is not only error but an abuse of discretion” for a trial court to refuse permission to amend. *Morgan v. Sup. Ct. (Morgan)* (1959) 172 Cal. App. 2d 527, 530.

Here, no party opposed the Motion at all, let alone demonstrated that any prejudice would be wrought by this amendment. The Court views their failure to oppose this Motion as all parties conceding this Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated “as an admission that the motion is meritorious”) (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).

Accordingly, Cross-Complainant’s Motion is **GRANTED**. Specifically, Cross-Complainant Oak Grove School District is **ORDERED** to file its First Amended Cross-Complaint within 15 days of today. All other parties in this action may answer or otherwise respond to this First Amended Cross-Complaint in any manner allowed, and in the time allowed, by the Code of Civil Procedure.

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 7

Case Name: *Santos Medina v. SF Green Construction Inc., et al.*

Case No.: 24CV453662

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Santos Medina moves under Code of Civil Procedure Section 473(a)(1) for leave to file a First Amended Complaint (“FAC”) on the ground that doing so is in furtherance of justice. Notice of Motion (the “Motion”) at 1:23-27 (filed: Dec. 11, 2025).

The Motion came on for hearing on August 5, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

As the strong policy of California law is to liberally permit amendment of pleadings so that disputes will be efficiently decided on their merits, when resolving a motion to amend a pleading it is the practice of this Court to liberally exercise its discretion to permit amendment. *Nestle v. Santa Monica* (1972) 6 Cal. 3d 920, 939; *Mable v. Hyatt* (1998) 81 Cal. App. 4th 581, 596. Indeed, unless a party opposing a motion to amend a pleading demonstrates that the amendment would cause them undue prejudice, “it is not only error but an abuse of discretion” for a trial court to refuse permission to amend. *Morgan v. Sup. Ct.* (Morgan) (1959) 172 Cal. App. 2d 527, 530.

Here, no party opposed the Motion at all, let alone demonstrated that any prejudice would be wrought by this amendment. The Court views their failure to oppose this Motion as Defendants conceding this Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated “as an admission that the motion is meritorious”) (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).

Accordingly, Plaintiff’s Motion is **GRANTED**. Specifically, Plaintiff Santos Medina is **ORDERED** to file his First Amended Complaint within 15 days of today. All other parties in this action may answer or otherwise respond to Plaintiff’s First Amended Complaint in any manner allowed, and in the time allowed, by the Code of Civil Procedure.

SO ORDERED.

Date: August 5, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 8

Case Name: *April Ouellette v. BAM Ouellette Properties LLC, et al.*

Case No.: 25CV460430

See Order above (taking Cross-Motion Off Calendar for today because it has been CONTINUED to November 20, 2026, at 9:00 AM in Department 16 by Stipulation of the Parties).

Line 9

Line 10

Line 11

Line 12

Line 13

Line 14

Line 15